

Healthcare | Cipla is engaged in the Business of Pharmaceuticals.(Source : 202003 Annual Report Page No:157)

ROE

15.6%

ROCE

71.5%

Debt / Equity

0.02

Revenue CAGR 5Y

9.5%

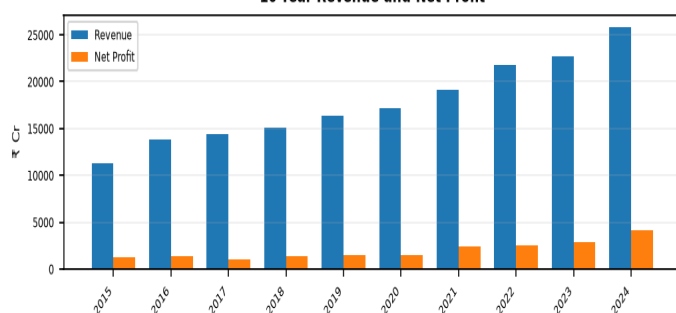
PAT CAGR 5Y

22.7%

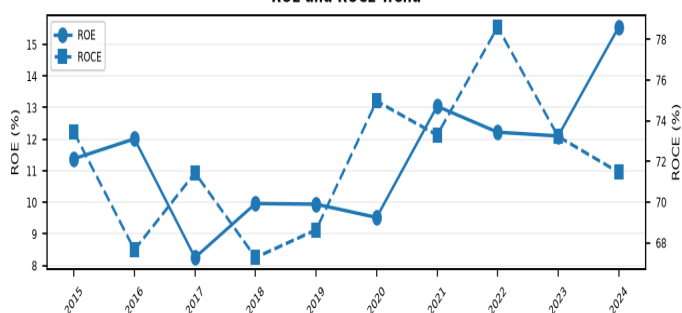
Free Cash Flow

■1,152 Cr

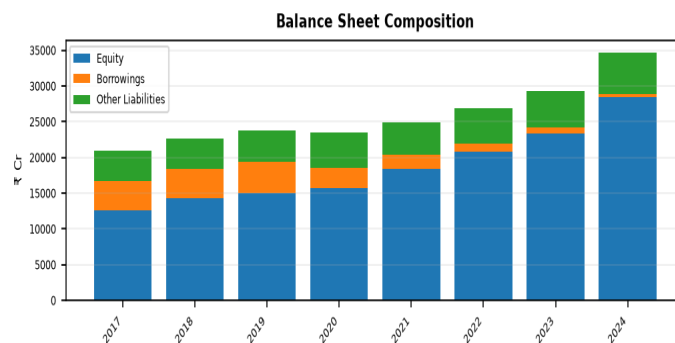
10-Year Revenue and Net Profit



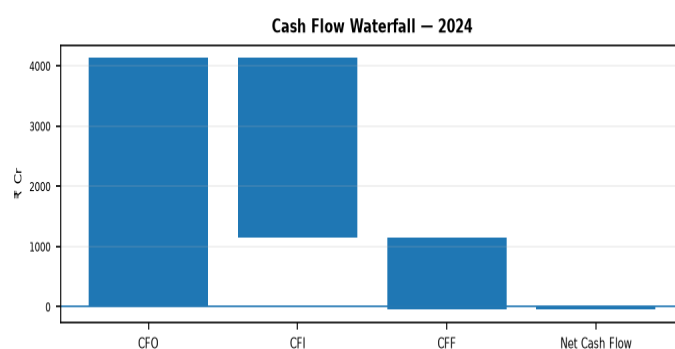
ROE and ROCE Trend



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

CAPITAL ALLOCATION: Reinvestor